Analyzing Business Transactions – The Rules of Debit and Credit

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Every business transaction affects at least two accounts. Some transactions increase an account; others decrease an account. The challenge for accounting students is knowing which account to debit and which account to credit for each transaction. This is not guesswork. It follows a logical system based on the accounting equation and the rules of debit and credit. Once you understand that assets increase with debits and liabilities increase with credits, you can analyze any simple business transaction.

This reading material explains how to analyze simple business transactions following the rules of debit and credit. It reviews the accounting equation, presents the rules of debit and credit using T-accounts, and provides step-by-step examples of common business transactions.

Part 1: Review of the Accounting Equation

The accounting equation is the foundation of double-entry bookkeeping. Every transaction must keep this equation in balance.

Assets = Liabilities + Owner's Equity

Component	Definition	Normal Balance
Assets	What the business owns	Debit (left side)
Liabilities	What the business owes	Credit (right side)
Owner's Equity	The owner's claim on the business	Credit (right side)

Expanded Accounting Equation (including Income and Expenses)

Assets = Liabilities + Owner's Equity + (Income – Expenses)

Or more simply:

Assets + Expenses = Liabilities + Owner's Equity + Income

This expanded view shows why expenses increase with debits (they are on the left side) and income increases with credits (it is on the right side).

Part 2: The Rules of Debit and Credit

What Are T-Accounts?

A T-account is a visual representation of a single account. It is shaped like the letter "T". The left side is always the debit side. The right side is always the credit side.

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        Account Title
    ─────────────────────
                |
    Debit       |     Credit
    (Left)      |     (Right)
                |
```

The Rules of Debit and Credit for Each Account Type

Account Type	Normal Balance	To Increase	To Decrease
Asset	Debit	Debit (left)	Credit (right)
Liability	Credit	Credit (right)	Debit (left)

Account Type	Normal Balance	To Increase	To Decrease
Owner's Equity	Credit	Credit (right)	Debit (left)
Income (Revenue)	Credit	Credit (right)	Debit (left)
Expense	Debit	Debit (left)	Credit (right)

The Memory Aid: DEALER

Many students use the acronym **DEALER** to remember normal balances:

Letter	Account Type	Normal Balance
D	Dividends (Drawings)	Debit
E	Expenses	Debit
A	Assets	Debit
L	Liabilities	Credit
E	Equity	Credit
R	Revenue (Income)	Credit

The One Absolute Rule

Total Debits must always equal Total Credits for every transaction.

Every transaction has at least one debit and one credit. The total amount debited must equal the total amount credited. If they do not equal, an error has been made.

Part 3: Step-by-Step Method for Analyzing Transactions

Follow these five steps for every business transaction:

Step	Action	Question to Ask
1	Identify the accounts affected	Which accounts change because of this transaction?
2	Determine the type of each account	Is each account an Asset, Liability, Equity, Income, or Expense?
3	Determine whether each account increases or decreases	Does the transaction increase or decrease each account?
4	Apply the rules of debit and credit	Based on the account type, should you debit or credit to achieve the increase or decrease?
5	Verify that debits equal credits	Do total debits equal total credits?

Part 4: Examples of Simple Business Transactions

The following examples show how to analyze common business transactions using the five-step method and T-accounts.

Example 1: Owner Invests Cash in the Business

Transaction: The owner invests ₱100,000 cash to start a new business.

Step	Analysis
1. Accounts affected	Cash (Asset) and Owner's Capital (Equity)
2. Type of accounts	Cash is an Asset. Owner's Capital is Equity.
3. Increase or decrease?	Both accounts increase. Cash increases by ₱100,000. Owner's Capital increases by ₱100,000.
4. Debit or credit?	Assets increase with DEBIT. Equity increases with CREDIT.
5. Verify equality	Debit Cash ₱100,000 = Credit Owner's Capital ₱100,000 ✓

Journal Entry:

Account	Debit	Credit
Cash	₱100,000	
Owner's Capital		₱100,000

T-Accounts:

```
      Cash                     Owner's Capital
┌─────────┬──────────┐      ┌────────┬─────────┐
│ Debit   │ Credit   │      │ Debit  │ Credit  │
├─────────┼──────────┤      ├────────┼─────────┤
│100,000  │          │      │        │ 100,000│
└─────────┴──────────┘      └────────┴─────────┘
```

Example 2: Purchasing Equipment for Cash

Transaction: The business buys equipment for ₱50,000 cash.

Step	Analysis
1. Accounts affected	Equipment (Asset) and Cash (Asset)
2. Type of accounts	Both are Assets.
3. Increase or decrease?	Equipment increases by ₱50,000. Cash decreases by ₱50,000.
4. Debit or credit?	Assets increase with DEBIT (Equipment). Assets decrease with CREDIT (Cash).
5. Verify equality	Debit Equipment ₱50,000 = Credit Cash ₱50,000 ✓

Journal Entry:

Account	Debit	Credit
Equipment	₱50,000	
Cash		₱50,000

T-Accounts:

```
    Equipment                       Cash
┌─────────┬──────────┐        ┌────────┬─────────┐
│ Debit   │ Credit   │        │ Debit  │ Credit  │
├─────────┼──────────┤        ├────────┼─────────┤
│ 50,000  │          │        │        │ 50,000  │
└─────────┴──────────┘        └────────┴─────────┘
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Example 3: Purchasing Supplies on Credit

Transaction: The business buys office supplies for ₱10,000 on credit (to be paid later).

Step	Analysis
1. Accounts affected	Supplies (Asset) and Accounts Payable (Liability)
2. Type of accounts	Supplies is an Asset. Accounts Payable is a Liability.
3. Increase or decrease?	Both accounts increase. Supplies increase by ₱10,000. Accounts Payable increases by ₱10,000.
4. Debit or credit?	Assets increase with DEBIT (Supplies). Liabilities increase with CREDIT (Accounts Payable).
5. Verify equality	Debit Supplies ₱10,000 = Credit Accounts Payable ₱10,000 ✓

Journal Entry:

Account	Debit	Credit
Supplies	₱10,000	
Accounts Payable		₱10,000

T-Accounts:

```
      Supplies              Accounts Payable
┌─────────┬─────────┐    ┌────────┬─────────┐
│ Debit   │ Credit  │    │ Debit  │ Credit  │
├─────────┼─────────┤    ├────────┼─────────┤
│ 10,000  │         │    │        │ 10,000  │
└─────────┴─────────┘    └────────┴─────────┘
```

Example 4: Providing Services for Cash

Transaction: The business provides services to a customer and receives ₱30,000 cash immediately.

Step	Analysis
1. Accounts affected	Cash (Asset) and Service Revenue (Income)
2. Type of accounts	Cash is an Asset. Service Revenue is Income.
3. Increase or decrease?	Both accounts increase. Cash increases by ₱30,000. Service Revenue increases by ₱30,000.
4. Debit or credit?	Assets increase with DEBIT (Cash). Income increases with CREDIT (Service Revenue).
5. Verify equality	Debit Cash ₱30,000 = Credit Service Revenue ₱30,000 ✓

Journal Entry:

Account	Debit	Credit
Cash	₱30,000	
Service Revenue		₱30,000

T-Accounts:

```
       Cash                    Service Revenue
┌─────────────────┐         ┌───────────────┐
│ Debit  │ Credit │         │ Debit │ Credit │
├────────┼────────┤         ├───────┼────────┤
│ 30,000 │        │         │       │ 30,000 │
└────────┴────────┘         └───────┴────────┘
```

Example 5: Providing Services on Credit

Transaction: The business provides services to a customer on credit for ₱20,000 (customer will pay later).

Step	Analysis
1. Accounts affected	Accounts Receivable (Asset) and Service Revenue (Income)
2. Type of accounts	Accounts Receivable is an Asset. Service Revenue is Income.
3. Increase or decrease?	Both accounts increase. Accounts Receivable increases by ₱20,000. Service Revenue increases by ₱20,000.
4. Debit or credit?	Assets increase with DEBIT (Accounts Receivable). Income increases with CREDIT (Service Revenue).
5. Verify equality	Debit Accounts Receivable ₱20,000 = Credit Service Revenue ₱20,000 ✓

Journal Entry:

Account	Debit	Credit
Accounts Receivable	₱20,000	
Service Revenue		₱20,000

T-Accounts:

```
Accounts Receivable            Service Revenue

┌──────────────────┐           ┌────────────────┐
│ Debit  │ Credit  │           │ Debit │ Credit │
├────────┼─────────┤           ├───────┼────────┤
│ 20,000 │         │           │       │ 20,000 │
└────────┴─────────┘           └───────┴────────┘
```

Example 6: Paying Expenses (Rent)

Transaction: The business pays ₱15,000 rent for the month.

Step	Analysis
1. Accounts affected	Rent Expense (Expense) and Cash (Asset)
2. Type of accounts	Rent Expense is an Expense. Cash is an Asset.
3. Increase or decrease?	Rent Expense increases by ₱15,000. Cash decreases by ₱15,000.
4. Debit or credit?	Expenses increase with DEBIT (Rent Expense). Assets decrease with CREDIT (Cash).
5. Verify equality	Debit Rent Expense ₱15,000 = Credit Cash ₱15,000 ✓

Journal Entry:

Account	Debit	Credit
Rent Expense	₱15,000	
Cash		₱15,000

T-Accounts:

```
    Rent Expense                     Cash
┌─────────┬─────────┐       ┌────────┬─────────┐
│ Debit   │ Credit  │       │ Debit  │ Credit  │
├─────────┼─────────┤       ├────────┼─────────┤
│ 15,000  │         │       │        │ 15,000  │
└─────────┴─────────┘       └────────┴─────────┘
```

Example 7: Collecting Cash from a Customer on Credit

Transaction: The business collects ₱10,000 cash from a customer who owed money from a previous credit sale.

Step	Analysis
1. Accounts affected	Cash (Asset) and Accounts Receivable (Asset)
2. Type of accounts	Both are Assets.
3. Increase or decrease?	Cash increases by ₱10,000. Accounts Receivable decreases by ₱10,000.
4. Debit or credit?	Assets increase with DEBIT (Cash). Assets decrease with CREDIT (Accounts Receivable).
5. Verify equality	Debit Cash ₱10,000 = Credit Accounts Receivable ₱10,000 ✓

Journal Entry:

Account	Debit	Credit
Cash	₱10,000	
Accounts Receivable		₱10,000

T-Accounts:

```
      Cash                     Accounts Receivable
┌─────────┬──────────┐       ┌────────┬─────────┐
│ Debit   │ Credit   │       │ Debit  │ Credit  │
├─────────┼──────────┤       ├────────┼─────────┤
│ 10,000  │          │       │        │ 10,000  │
└─────────┴──────────┘       └────────┴─────────┘
```

Example 8: Paying Accounts Payable (Paying a Supplier)

Transaction: The business pays ₱5,000 to a supplier for supplies purchased on credit earlier.

Step	Analysis
1. Accounts affected	Accounts Payable (Liability) and Cash (Asset)
2. Type of accounts	Accounts Payable is a Liability. Cash is an Asset.
3. Increase or decrease?	Accounts Payable decreases by ₱5,000. Cash decreases by ₱5,000.
4. Debit or credit?	Liabilities decrease with DEBIT (Accounts Payable). Assets decrease with CREDIT (Cash).
5. Verify equality	Debit Accounts Payable ₱5,000 = Credit Cash ₱5,000 ✓

Journal Entry:

Account	Debit	Credit
Accounts Payable	₱5,000	
Cash		₱5,000

T-Accounts:

```
  Accounts Payable              Cash
┌──────────────────┐      ┌────────────────┐
│ Debit │ Credit   │      │ Debit │ Credit │
├───────┼──────────┤      ├───────┼────────┤
│ 5,000 │          │      │       │ 5,000  │
└───────┴──────────┘      └───────┴────────┘
```

Example 9: Owner Withdraws Cash for Personal Use

Transaction: The owner withdraws ₱8,000 cash for personal use.

Step	Analysis
1. Accounts affected	Owner's Drawings (Contra-Equity) and Cash (Asset)
2. Type of accounts	Drawings reduces Equity (recorded as a debit balance). Cash is an Asset.
3. Increase or decrease?	Drawings increases by ₱8,000. Cash decreases by ₱8,000.
4. Debit or credit?	Drawings increases with DEBIT. Assets decrease with CREDIT (Cash).
5. Verify equality	Debit Drawings ₱8,000 = Credit Cash ₱8,000 ✓

Journal Entry:

Account	Debit	Credit
Owner's Drawings	₱8,000	
Cash		₱8,000

T-Accounts:

```
   Owner's Drawings              Cash
┌─────────┬──────────┐     ┌────────┬─────────┐
│ Debit   │ Credit   │     │ Debit  │ Credit  │
├─────────┼──────────┤     ├────────┼─────────┤
│ 8,000   │          │     │        │ 8,000   │
└─────────┴──────────┘     └────────┴─────────┘
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Example 10: Paying Utilities Expense

Transaction: The business pays ₱3,500 for electricity and water.

Step	Analysis
1. Accounts affected	Utilities Expense (Expense) and Cash (Asset)
2. Type of accounts	Utilities Expense is an Expense. Cash is an Asset.
3. Increase or decrease?	Utilities Expense increases by ₱3,500. Cash decreases by ₱3,500.
4. Debit or credit?	Expenses increase with DEBIT (Utilities Expense). Assets decrease with CREDIT (Cash).
5. Verify equality	Debit Utilities Expense ₱3,500 = Credit Cash ₱3,500 ✓

Journal Entry:

Account	Debit	Credit
Utilities Expense	₱3,500	
Cash		₱3,500

T-Accounts:

```
  Utilities Expense                    Cash
┌─────────────────┐          ┌────────────────┐
│ Debit │ Credit  │          │ Debit │ Credit │
├───────┼─────────┤          ├───────┼────────┤
│ 3,500 │         │          │       │ 3,500  │
└───────┴─────────┘          └───────┴────────┘
```

Part 5: Summary Table of Common Transactions

Transaction	Account Debited	Account Credited
Owner invests cash	Cash	Owner's Capital
Buy equipment for cash	Equipment	Cash
Buy supplies on credit	Supplies	Accounts Payable
Provide service for cash	Cash	Service Revenue
Provide service on credit	Accounts Receivable	Service Revenue
Pay rent expense	Rent Expense	Cash
Collect cash from customer	Cash	Accounts Receivable
Pay supplier on credit	Accounts Payable	Cash
Owner withdraws cash	Owner's Drawings	Cash
Pay utilities expense	Utilities Expense	Cash

Key Terms

Term	Definition
T-account	A visual representation of an account shaped like a "T" with debits on the left and credits on the right
Debit (Dr.)	Left side of an account
Credit (Cr.)	Right side of an account
Normal balance	The side of an account where increases are recorded
Journal entry	A record of a transaction showing which accounts are debited and credited
Double-entry bookkeeping	System where every transaction has at least one debit and one credit, and total debits equal total credits

Review Questions

1. What is a T-account? Draw a blank T-account and label the debit side and credit side.

2. Complete the following table:

Account Type	Normal Balance	To Increase	To Decrease
Asset			
Liability			
Owner's Equity			
Income (Revenue)			
Expense			

3. For each of the following transactions, identify which accounts are affected and whether they increase or decrease:

- (a) Owner invests ₱200,000 cash in the business
- (b) Purchase equipment for ₱80,000 cash
- (c) Purchase inventory for ₱30,000 on credit

4. For each transaction in question 3, state whether you would debit or credit each account.

5. A business provides services worth ₱25,000 to a customer who pays immediately. Prepare the journal entry.

6. A business pays ₱12,000 for rent. Prepare the journal entry.

7. A business collects ₱15,000 from a customer who owed money from a previous credit sale. Prepare the journal entry.

8. A business pays ₱7,000 to a supplier for supplies purchased on credit. Prepare the journal entry.

9. Using T-accounts, show the effect of the following transactions on Cash:

- Owner invested ₱100,000
- Paid rent ₱20,000
- Collected from customer ₱30,000
- Paid supplier ₱10,000

10. Application question: A new business has the following transactions in its first month:

- Owner invests ₱500,000 cash
- Buys equipment for ₱150,000 cash
- Buys inventory for ₱100,000 on credit
- Provides services for ₱80,000 cash
- Provides services for ₱40,000 on credit
- Pays rent ₱25,000
- Collects ₱20,000 from customers on credit
- Pays ₱30,000 to suppliers on credit

Prepare journal entries for all eight transactions. Then, post the transactions to T-accounts for Cash, Accounts Receivable, Inventory, Equipment, Accounts Payable, Owner's Capital, Service Revenue, and Rent Expense. Finally, verify that total debits equal total credits across all T-accounts.